Republic of the Philippines

Department of Education

REGION III-CENTRAL LUZON

SCHOOLS DIVISION OF THE CITY OF MEYCAUAYAN

ACADEMIC SENIOR HIGH SCHOOL OF THE CITY OF MEYCAUAYAN

Name:_____ **Yr.& Section:**_____

MELC: Apply business principles, tools, and techniques in participating in various types of industries in the locality (ABM_AE12II-a-d-10)

What is Business Analysis?

Business Analysis is the set of tasks, knowledge, and techniques required to identify business needs and determine solutions to enterprise business problems. Although, the general definition is similar, the practices and procedures may vary in various industries.

In Information technology industry, solutions often include a systems development component, but may also consist of process improvement or organizational change.

Business analysis may also be performed to understand the current state of an organization or to serve as a basis for the identification of business needs. In most cases, however, business analysis is performed to define and validate solutions that meets business needs, goals, or objectives.

Why have a Business Analyst?

Organizations employ business analysis for the following reasons

- To understand the structure and the dynamics of the organization in which a system is to be deployed.
- To understand current problems in the target organization and identify improvement potentials.
- To ensure that the customer, end user, and developers have a common understanding of the target organization.

Fundamentally, there are 3 types of Business analysis which we can categorize into –

- **Strategic Analysis** – Strategic business analysis deals with pre-project work. It is the method or process of identifying business problems, devising business strategies, goals and objectives helping the top management. It provides management information reporting for effective decision-making process.
- **Tactical Analysis** – It involves knowledge of specific business analysis techniques to apply at the right time in the appropriate project.
- **Operational Analysis** – In this type of Business analysis, we are focused towards the business aspect by leveraging information technology. It is also a process of studying operational systems with the aim of identifying opportunities for business improvement.

Some of the more common analysis tools and techniques include:

VMOST: This stands for Vision, Mission, Objectives, Strategy, and Tactical.

A VMOST Analysis is a highly structured, yet simple and effective method to set goals for team members at every level of the organization. It ensures a high level of conformity among team members, which in turn will benefit company results. Usually, the analysis is carried out to examine an organization or unit's current strategy, though the VMOST structure can also be used to define current and future strategies, projects, programs, and even individualistic goals.

Success in an organization happens with top-down or bottom-up alignment.

SWOT: The standard analysis tool, defined as Strengths, Weaknesses, Opportunities, and Threats. The primary objective of a SWOT analysis is to help organizations develop a full awareness of all the factors involved in making a business decision.

Strengths and weaknesses are internal to the organization, opportunities and threats are external. SWOT requires you to be candid and provide an honest assessment of the state of things. It forces you to create a dialogue with stakeholders to get different viewpoints. Eventually, you focus in on the key issues.

PEST: The PEST analysis is a useful tool for understanding market growth or decline, and as such the position, potential and direction for a business. This is a great tool to use in tandem with SWOT. The acronym stands for Political, Economic, Social and Technology.

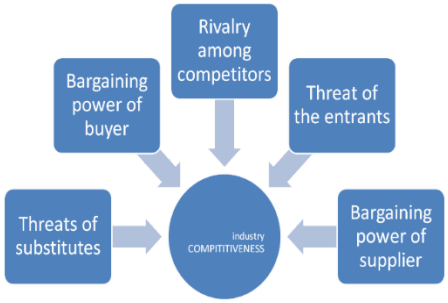
PEST reveals opportunities and threats better than SWOT, the direction of business change, projects that will fail beyond your control, and country, region and market issues through helping you create an objective view.

SOAR: SOAR analysis is a strategic planning tool that can be used to help your organization create and execute its strategy.
SOAR analysis works by focusing on your strengths and how they can be leveraged to take advantage of the opportunities facing your organization.
The tool is not something you would use on your own; instead, you would use it as a group in a team brainstorming session.

Difference Between SWOT Analysis and SOAR Analysis

The key difference between a SWOT analysis and a SOAR analysis is that while a SWOT analysis scans your internal and external environment, it doesn't help you figure out how to proceed. In contrast, a SOAR analysis helps you determine the results you want to achieve in the future.
Another difference is that a SOAR analysis doesn't examine negatives, whereas a SWOT analysis will expressly look for threats and weaknesses. SOAR focuses on enhancing what is already being done well instead of addressing weak areas.
Another way to say this is that a SOAR analysis focuses more on planting seeds than pulling weeds.

Porter's Five Forces: This tool helps you understand where your business power lies in terms of present competitiveness and future positioning strength. It forces you to analyze the bargaining power of suppliers and customers, the threats to new entrants and substitutes, and competitive rivalry in your marketplace. Using this tool helps you understand the balance of power and to identify areas of potential profitability. According to Porter, this model should be used at the line of business level.



- Porter's Five Forces is a framework for analyzing a company's competitive environment.
- The number and power of a company's competitive rivals, potential new market entrants, suppliers, customers, and substitute products influence a company's profitability.
- Five Forces analysis can be used to guide business strategy to increase competitive advantage.
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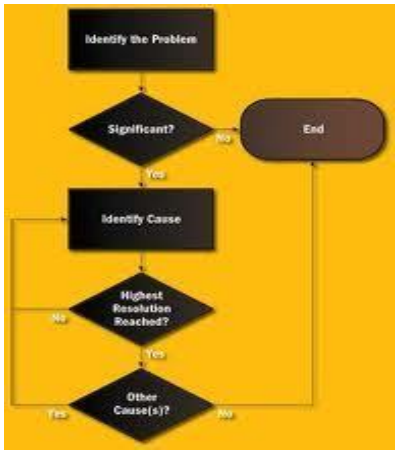
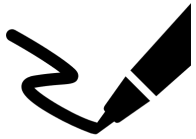
Root Cause Analysis: Root Cause Analysis (RCA) is a set of analyzing and problem solving techniques targeted at identifying the actual root cause or the reason for the nonconformity. The need for RCA stems from the fact that the elimination of the symptoms of the problems is not alone sufficient to address the problem, it has to be addressed at the source. If you solve a problem at this root level, it is highly probable that you can prevent its recurrence.
A root cause is just what it sounds like: the “root” of the problem.



What is Root Cause Analysis (RCA)? - 9000 Store (the9000store.com)



LET US PRACTICE (Written Works)

I. QUIZ.

Direction. Read each question carefully. Identify the word that is being described. Write your answer on the line before each number.

_____ 1. is a set of analyzing and problem solving techniques targeted at identifying the actual root cause or the reason for the nonconformity.

_____2. This analysis is a highly structured, yet simple and effective method to set goals for team members at every level of the organization.

_____3. This analysis is a useful tool for understanding market growth or decline, and as such the position, potential and direction for a business.

_____4. This tool helps you understand where your business power lies in terms of present competitiveness and future positioning strength.

_____5. This analysis works by focusing on your strengths and how they can be leveraged to take advantage of the opportunities facing your organization.

II. Below are the factors that may be used in developing a PEST analysis model. Classify the following factors according to the following:

- inflation rate
- population growth rate
- technology incentives
- trade restrictions and tariffs
- tax policy
- health consciousness
- R&D activity
- employment laws
- age distribution
- environmental regulations

POLITICAL FACTOR	ECONOMIC FACTOR	SOCIAL FACTOR	TECHNOLOGICAL FACTOR

LET US APPRECIATE

A. Why do we need to conduct a business analysis?

_____
_____
_____
_____

B. If you are to use these tools in your personal decision making, which tool will you apply? Why?

_____
_____
_____
_____

PERFORMANCE TASK

If you are to make your own business tool analysis model, what would be its:

a. Name

_____

b. Your own model

c. Description of the analysis model that you created.

d. The reason of creating such model.